
Archer Daniels Midland: Navigating Market Shifts with a Focus on Sustainable Growth

ADM stands at a critical juncture. While the company boasts a substantial revenue stream, recent financial reports reveal a downward trend, with a 4.86% year-over-year decline in revenue for the quarter ending June 30, 2025, and an 8.95% annual revenue decrease in 2024. This context underscores the importance of identifying new avenues for growth and efficiency, where strategic investments in food waste reduction and sustainability can play a pivotal role.

Untapped Potential: Why ADM Is Positioned to Lead in Food Waste Reduction

ADM's vast global operations, encompassing over 270 manufacturing facilities processing grain and oilseeds, present significant opportunities to address food waste across its supply chain. While ADM's S&P; Global ESG Score of 40 places it within its industry peer group, there's room to elevate this score by implementing targeted food waste reduction initiatives. This is especially relevant given the increasing investor focus on ESG performance.

Supply Chain Opportunities: Where Food Is Wasted

ADM's extensive supply chain, from grain and oilseed processing to the production of ingredients for food, beverages, and animal feed, is inherently exposed to potential food loss and waste at various stages. A comprehensive assessment of these points, from post-harvest handling to processing inefficiencies, is crucial. By identifying specific areas where waste occurs, ADM can implement targeted interventions to minimize losses and maximize resource utilization.

The Business Case: ROI on Food Waste Reduction

Reducing food waste isn't just an environmental imperative; it's a sound business strategy. By optimizing its processes and minimizing waste, ADM can unlock significant cost savings, improve resource efficiency, and enhance its overall profitability. For example, reducing spoilage during storage and transportation can directly translate to increased yields and reduced operational expenses. Furthermore, exploring opportunities to valorize byproducts and waste streams into new products can generate additional revenue streams.

Partnership Ecosystem: Current and Potential Allies

ADM's existing partnership with World Food Program USA since 2005 demonstrates a commitment to addressing global food security. Building on this foundation, ADM can leverage collaborations with organizations like ReFED and the U.S. Food Waste Pact to accelerate its food waste reduction efforts. Joining the U.S. Food Waste Pact would provide ADM with access to a network of industry peers, best practices, and technical expertise to drive meaningful change.

From Commitment to Action: Integrating Food Waste Reduction into Core Strategy

ADM's 2024 Annual Report highlights a commitment to sustainable practices and developing innovative solutions in agriculture, food and nutrition, industrial and consumer products, and energy. To translate this commitment into tangible action, ADM should integrate food waste reduction targets into its core business strategy and establish clear metrics to track progress. This includes setting specific, measurable, achievable, relevant, and time-bound (SMART) goals for reducing food waste across its operations.

A Company in Transition: Opportunities Amid Change

Recent market signals, including a decline in crushing profit driven by lower margins and challenges with international trade flows, highlight the need for ADM to adapt and innovate. Investing in food waste reduction technologies and strategies can provide a competitive edge in a rapidly evolving market landscape. Furthermore, by showcasing its commitment to sustainability, ADM can attract environmentally conscious consumers and investors.

Next Steps: A Roadmap for Collaboration

- Conduct a comprehensive food waste assessment: Partner with ReFED to conduct a detailed assessment of ADM's operations to identify key areas where food waste occurs and quantify the associated costs.
- Develop a food waste reduction action plan: Based on the assessment findings, develop a comprehensive action plan with specific, measurable targets and timelines for reducing food waste across ADM's value chain.
- Explore byproduct valorization opportunities: Investigate opportunities to convert food waste and byproducts into valuable products, such as animal feed, compost, or bioenergy.
- Strengthen partnerships and collaborations: Actively engage with the U.S. Food Waste Pact and other relevant organizations to share best practices and collaborate on innovative solutions.
- Enhance ESG reporting: Improve transparency and accountability by incorporating detailed information on ADM's food waste reduction efforts into its ESG reporting.
- Pilot innovative technologies: Explore and pilot new technologies, such as advanced sorting and processing equipment, to improve efficiency and reduce waste.